GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

ANTI-MONEY LAUNDERING POLICY

Document Information	
Policy Name	Anti-Money Laundering Policy
Version	1.0
Policy Owner	Board of Trustees
Nominated Officer	Chair of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
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Related Policies	Anti-Bribery Policy, Due Diligence Policy, Whistleblowing Policy, Counter-Terrorism Policy, Internal Financial Controls Policy

1. Introduction and Purpose

1.1 Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation registered in England, established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community.

As a charity entrusted with public donations, including Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity), we have a duty to ensure that all funds received are from legitimate sources and that we do not inadvertently become involved in money laundering or the handling of criminal property.

Charities can be targeted as conduits for money laundering because association with a charity tends to give a veneer of public respectability to funds that may be dubious or criminal in origin. This policy sets out our commitment to preventing such abuse.

1.2 Purpose

The purpose of this Anti-Money Laundering Policy is to:

- Ensure the Charity complies with all relevant anti-money laundering legislation and Charity Commission guidance
- Protect the Charity from being used as a vehicle for money laundering or handling criminal property
- Define what constitutes money laundering and set out the associated criminal offences
- Establish clear procedures for donor due diligence and the acceptance or refusal of donations
- Provide guidance on recognising and reporting suspicious activity
- Set out the roles and responsibilities of trustees and volunteers
- Protect the Charity's reputation and the trust placed in us by donors, beneficiaries, and the public

1.3 Legal Framework

Money laundering is a criminal offence under UK law. The principal legislation includes:

- Proceeds of Crime Act 2002 (POCA) – creates the main money laundering offences
- Terrorism Act 2000 – covers terrorist financing offences
- Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 – sets out compliance requirements
- Charities Act 2011 – places duties on trustees to protect charity assets
- Counter-Terrorism Act 2008 – additional counter-terrorism provisions

Engaging in money laundering, or failing to report suspicions of money laundering, can result in criminal prosecution, imprisonment (up to 14 years for some offences), and unlimited fines. Both the Charity and individuals involved could face criminal liability.

2. What is Money Laundering?

2.1 Definition

Money laundering is the process of turning the proceeds of crime into property or money that can be accessed legitimately without arousing suspicion. The term 'laundering' is used because criminals turn 'dirty' money into 'clean' funds which can then be integrated into the legitimate economy as though they have been acquired lawfully.

2.2 The Three Stages of Money Laundering

Money laundering typically involves three stages:

Placement: The movement of criminal proceeds from their source. For example, cash proceeds from crime may be paid into a bank account or used to buy goods, property, or assets—including donations to charities.

Layering: Undertaking transactions to conceal the origin of the money. For example, moving funds between accounts, converting currencies, or passing money through multiple organisations.

Integration: Moving laundered money into the economy so that it appears to come from legitimate sources. For example, receiving 'repayment' of a loan that was originally made with criminal funds.

2.3 Criminal Property

'Criminal property' means any property that constitutes or represents a benefit from criminal conduct, whether in the United Kingdom or elsewhere, or any property that is known or suspected to represent such a benefit.

2.4 Principal Money Laundering Offences

Under the Proceeds of Crime Act 2002, there are three principal money laundering offences:

Concealing (Section 327): Concealing, disguising, converting, transferring, or removing criminal property from the United Kingdom.

Arranging (Section 328): Entering into or becoming concerned in an arrangement which is known or suspected to facilitate the acquisition, retention, use, or control of criminal property by another person.

Acquisition, Use and Possession (Section 329): Acquiring, using, or having possession of criminal property.

There are also offences relating to failing to disclose knowledge or suspicion of money laundering, and 'tipping off' a person who is being investigated.

3. Scope

3.1 Who This Policy Applies To

This policy applies to:

- All trustees of the Charity
- All volunteers working on behalf of the Charity
- Any contractors or consultants engaged by the Charity
- Partner organisations acting on the Charity's behalf
- Any other person or organisation representing the Charity

3.2 Activities Covered

This policy covers all activities that could expose the Charity to money laundering risks, including:

- Receiving donations (cash, cheque, bank transfer, online, or in-kind)
- Fundraising activities, including during Ramadan and other peak periods
- Grant-making to individuals and organisations
- Procurement of goods and services
- Relationships with partner organisations
- Any financial transactions conducted on behalf of the Charity

4. Policy Statement

Gloucester Zakat Charity is committed to:

- Conducting all activities with integrity and in accordance with the highest ethical standards
- Preventing money laundering and ensuring that the Charity is not used as a conduit for criminal funds
- Complying fully with all applicable anti-money laundering legislation and Charity Commission guidance
- Implementing appropriate due diligence measures proportionate to our size and risk profile
- Reporting any suspicions of money laundering to the appropriate authorities
- Maintaining zero tolerance for involvement with criminal property
- Protecting the sacred trust placed in us as stewards of Zakat and Sadaqah funds

5. Roles and Responsibilities

5.1 Nominated Officer

The Chair of Trustees (Mr Abdullah Abdul Samad Patel) is designated as the Charity's Nominated Officer for anti-money laundering purposes. The Nominated Officer is responsible for:

- Receiving and assessing internal reports of suspicious activity
- Deciding whether suspicions should be reported to the National Crime Agency (NCA)
- Submitting Suspicious Activity Reports (SARs) to the NCA where appropriate
- Maintaining records of all reports received and actions taken
- Ensuring the Charity's AML procedures remain effective and up to date
- Acting as the point of contact for any AML enquiries from authorities

If the Nominated Officer is unavailable or if the suspicion involves the Nominated Officer, reports should be made to another trustee.

5.2 Board of Trustees

The Board of Trustees is collectively responsible for:

- Approving and reviewing this policy
- Ensuring adequate procedures are in place to prevent money laundering
- Ensuring trustees and volunteers receive appropriate awareness training
- Overseeing the Charity's compliance with AML requirements

- Reporting serious incidents to the Charity Commission
- Taking appropriate action where concerns are identified

5.3 All Trustees and Volunteers

All trustees and volunteers must:

- Read, understand, and comply with this policy
- Be vigilant for signs of money laundering or suspicious activity
- Report any concerns immediately to the Nominated Officer
- Follow the due diligence procedures when accepting donations
- Never 'tip off' any person suspected of money laundering
- Cooperate fully with any investigation

6. Warning Signs of Money Laundering

6.1 General Red Flags

The following circumstances may indicate potential money laundering and should be treated with caution:

- Unexpected donations from unknown individuals or organisations new to the Charity
- Unusually large donations that are out of proportion to the donor's apparent circumstances
- Donations with unusual or suspicious conditions attached
- Requests to return all or part of a donation, particularly to a different account or person
- Donors who are reluctant to provide identification or source of funds information
- Donations in cash, particularly large amounts or frequent cash donations
- Donations from high-risk jurisdictions or involving complex international transfers
- Any transaction that seems unusual, overly complex, or lacks clear purpose

6.2 Types of Donations That Are Always Prohibited

The Charity must never accept:

- Donations where the Charity is asked to act as a conduit for passing funds to another body
- Donations where conditions would make the Charity merely a vehicle for transferring funds between parties
- Donations offered as a 'loan' to be returned after a period, even with an offer to keep the interest
- Donations in a foreign currency with conditions requiring return in a different currency
- Donations conditional on using particular individuals or organisations that the trustees have concerns about
- Donations from sources known or suspected to be involved in criminal activity
- Requests to allow transactions to pass through the Charity's bank account

6.3 Other Suspicious Patterns

Be alert to:

- Multiple small donations from the same source that together form a large sum ('structuring')

- Donations made using stolen or cloned credit/debit cards (small test donations to verify cards work)
- Donors who make unusual requests about payment methods or confidentiality
- Donations that arrive shortly before requests for 'refunds' or transfers
- Any pressure to accept a donation quickly without normal checks

7. Donor Due Diligence

7.1 Risk-Based Approach

The Charity adopts a risk-based approach to donor due diligence, proportionate to our size and the nature of donations received. The level of due diligence required depends on the value of the donation and any risk factors present.

7.2 Due Diligence Thresholds

The following thresholds apply to individual donations or cumulative donations from the same source within a 12-month period:

Donation Value	Due Diligence Required
Under £100	Basic receipt issued. No formal identification required unless concerns arise.
£100 – £1,000	Record donor name and contact details. Verify Gift Aid eligibility if claimed. Note any conditions attached.
Over £1,000	Enhanced due diligence: verify donor identity, make reasonable enquiries about source of funds, conduct basic online search. Refer to Board for approval before acceptance.
Over £5,000	Full enhanced due diligence as above, plus formal documentation of source of funds and Board approval. Consider whether donation is consistent with donor's known circumstances.
Any value with risk factors	Enhanced due diligence regardless of amount if any warning signs or risk factors are present. Refer to Nominated Officer.

7.3 Enhanced Due Diligence Procedures

When enhanced due diligence is required, the following steps should be taken:

- Obtain and verify the donor's full name, address, and contact details
- For individuals: request photographic ID and proof of address where practicable
- For organisations: verify the organisation's legal status and obtain details of authorised representatives
- Make reasonable enquiries about the source of the funds
- Conduct a basic online search to identify any adverse information
- Document the due diligence undertaken and the reasons for accepting or refusing the donation
- Obtain Board approval before acceptance

7.4 Cash Donations

Cash donations present higher money laundering risks. The following additional controls apply:

- Cash donations over £500 should be paid into the bank as soon as practicable
- Cash donations over £1,000 require enhanced due diligence regardless of other factors
- Large or frequent cash donations from the same source should be questioned
- All cash received should be recorded immediately with date, amount, and donor details (if known)
- Cash should be counted by two people where practicable

7.5 Anonymous Donations

The Charity Commission advises that charities should know the source of their funds. However, small anonymous donations (such as cash in collection boxes) are a normal part of charity fundraising.

- Anonymous donations under £100 may generally be accepted without further enquiry
- Anonymous donations over £100 should be referred to the Nominated Officer for consideration
- Anonymous donations over £1,000 should not normally be accepted unless the Board is satisfied there is no money laundering risk
- If anonymity is specifically requested, trustees should consider why and whether this is a red flag

7.6 Donations with Conditions

Where a donation comes with conditions attached, trustees must consider:

- Whether the conditions are consistent with the Charity's objects
- Why the conditions have been imposed
- Whether the conditions create any money laundering concerns
- Whether there is any benefit to the donor or a connected person
- Conditional donations over £1,000 should be referred to the Board for approval

8. Refusing Donations

8.1 When to Refuse

The Charity must refuse a donation if:

- There is knowledge or reasonable suspicion that the funds are the proceeds of crime
- The donation falls into any of the 'always prohibited' categories in Section 6.2
- The donor refuses to provide information needed for due diligence
- Accepting the donation would damage the Charity's reputation
- The conditions attached are incompatible with the Charity's objects or values
- The Board determines that acceptance would not be in the Charity's best interests

8.2 Process for Refusal

When refusing a donation:

- Document the reasons for refusal
- Inform the donor politely that the donation cannot be accepted (without disclosing any suspicion of money laundering)
- If the donation has already been received, return it to the original source where possible
- Report the matter to the Nominated Officer
- If money laundering is suspected, follow the reporting procedures in Section 9 before taking any action

9. Reporting Suspicious Activity

9.1 Internal Reporting

Anyone who suspects money laundering must report it immediately to the Nominated Officer (Chair of Trustees). Reports should include:

- Full details of the person(s) or organisation(s) involved
- Nature and value of the property or transaction involved
- The reasons for the suspicion
- Any relevant dates, times, and locations
- Any documentary evidence
- Whether the matter has been reported elsewhere

9.2 Assessment by Nominated Officer

On receiving a report, the Nominated Officer will:

- Assess the information to determine whether there are reasonable grounds for suspicion
- Request additional information if needed
- Decide whether the matter should be reported to the National Crime Agency (NCA)
- Document the assessment and decision
- Ensure the Charity does not proceed with any suspicious transaction until appropriate consent is received (if required)

9.3 External Reporting – Suspicious Activity Reports (SARs)

If the Nominated Officer determines that there are reasonable grounds for suspicion, a Suspicious Activity Report (SAR) must be submitted to the National Crime Agency (NCA).

SARs can be submitted:

- Online via the NCA SAR Online portal (preferred method)
- By post using the NCA SAR form
- The SAR must be submitted before the Charity takes any action that might constitute a money laundering offence

9.4 Consent Regime

In some cases, the Charity may need to seek 'appropriate consent' from the NCA before proceeding with a transaction. This applies where:

- The Charity knows or suspects that property is criminal property
- The Charity wishes to deal with that property (e.g., return a donation)
- Proceeding without consent could constitute a money laundering offence

The NCA has 7 working days to respond to a consent request. If consent is refused, there is a further 31-day moratorium during which the Charity must not proceed.

9.5 Reporting to Charity Commission

Suspected or actual money laundering is a serious incident that must be reported to the Charity Commission. A serious incident report should be submitted if:

- The Charity has been, or suspects it has been, used for money laundering
- A SAR has been submitted to the NCA
- There has been a significant loss of charitable funds

- There is significant risk to the Charity's property, activities, beneficiaries, or reputation

9.6 Tipping Off

It is a criminal offence to 'tip off' any person that:

- A SAR has been or will be submitted
- An investigation is being, or may be, conducted

Anyone who discloses information that might prejudice an investigation commits an offence punishable by up to 5 years' imprisonment. Do not inform anyone (other than the Nominated Officer or authorities) that a suspicion has been raised.

10. Grant-Making and Outgoing Funds

10.1 Know Your Beneficiary

The same principles of due diligence apply to ensuring that grants and payments are made to legitimate beneficiaries and are used for their intended charitable purpose. The Charity will:

- Verify the identity of grant recipients
- Assess the need and legitimacy of grant applications
- Monitor how grants are used
- Maintain records of all grants made
- Refer to the Due Diligence Policy for detailed procedures

10.2 Partner Organisations

When working with partner organisations (such as GARAS, GMWA, GIT, and GBA), the Charity will:

- Conduct appropriate due diligence before entering into partnerships
- Verify that partners have adequate AML policies and procedures
- Include appropriate provisions in partnership agreements
- Monitor partner activities on an ongoing basis

11. Training and Awareness

11.1 Trustee Induction

All new trustees will:

- Receive a copy of this policy as part of their induction
- Be briefed on their responsibilities under AML legislation
- Acknowledge in writing that they have read and understood this policy
- Be informed of the identity of the Nominated Officer

11.2 Volunteer Awareness

Volunteers involved in fundraising or handling donations will be made aware of:

- The key warning signs of money laundering
- The importance of reporting any concerns
- How and to whom to report concerns
- The prohibition on tipping off

11.3 Ongoing Awareness

The Board of Trustees will ensure that AML awareness is maintained through:

- Annual review of this policy at a Board meeting
- Discussion of any relevant incidents or concerns
- Updates on any changes to legislation or guidance
- Sharing relevant sector guidance and case studies

12. Record Keeping

The Charity will maintain the following records:

Record	Retention Period
Donor due diligence records	6 years from date of donation
Records of donations refused	6 years
Internal reports of suspicious activity	6 years (or longer if investigation ongoing)
SARs and correspondence with NCA	6 years (or longer if investigation ongoing)
Training and acknowledgement records	Duration of relationship + 6 years
Risk assessments	6 years from date superseded

13. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are significant changes to legislation or regulatory guidance
- A serious incident occurs that highlights gaps in the policy
- There are significant changes to the Charity's operations or risk profile
- Issues are identified through internal or external audit
- The Nominated Officer identifies a need for updates

14. Related Policies and Documents

This policy should be read in conjunction with:

- Anti-Bribery Policy
- Counter-Terrorism Policy
- Due Diligence Policy
- Whistleblowing Policy
- Internal Financial Controls Policy
- Cash Handling Policy
- Risk Management Policy
- Trustee Code of Conduct

15. Regulatory Guidance and References

UK Government

- Proceeds of Crime Act 2002
- Terrorism Act 2000
- Money Laundering, Terrorist Financing and Transfer of Funds Regulations 2017
- Your responsibilities under money laundering supervision (gov.uk)

Charity Commission

- Protecting charities from harm: compliance toolkit
- Know your donor – key questions
- Know your partner – key issues to think about
- Advice on suspect donations
- Tainted donations
- Reporting serious incidents

National Crime Agency

- Suspicious Activity Reports (SARs)
- SAR Online reporting system

Office of Financial Sanctions Implementation (OFSI)

- OFSI Charity Sector Guidance on Sanctions
- UK Sanctions List
- UK Sanctions Guidance

16. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

17. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Anti-Money Laundering Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair / Nominated Officer	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

— End of Policy —